

HDFC Bank Ltd

NSE: HDFCBANK | BSE: 500180 | Banking — Private Sector | 11 June 2026

HOLD Target Price: ₹737 | CMP: ₹784.9 (24-Jun-2026) | Downside: -6.1%

Snapshot		
Market cap	~₹11.9 lakh Cr	52-wk range: ₹1,020 / ₹727 (post-bonus)
FY26 PAT (standalone)	₹74,670 Cr (+10.9%)	Consolidated PAT ₹79,219 Cr
Asset quality	GNPA 1.15% / NNPA 0.38%	CAR 19.7% (CET1 17.3%)
P/B (FY26) / ROE	~2.1x / ~14%	Dividend ₹15.5/share FY26

Investment Summary

HDFC Bank's FY2026 marked the year its post-merger balance-sheet repair visibly delivered: deposits grew 14.4% against advances growth of 12.0%, pulling the credit-deposit ratio steadily down from merger-era highs, while standalone PAT rose 10.9% to ₹74,670 crore. Asset quality remains the sector benchmark (GNPA 1.15%, NNPA 0.38%) and capital is abundant at a 19.7% CAR.

The investment case is now a tug-of-war between best-in-class franchise quality and a structurally lower ROE (~14% versus ~17% pre-merger) while the merged book reprices. The stock's 23% decline over twelve months — steeper than the Bank Nifty — already concedes much of this, leaving the bank at roughly 2.1x FY26 book.

Our excess-return model (cost of equity 11.0%, terminal growth 5.5%) values the bank at ₹737 per share, about 6% below the current market price. We rate it HOLD: ROE expansion back toward 15-16% as high-cost borrowings run off is the catalyst that would turn us buyers, and the RBI's recent nod for stake increases in peers is a reminder of how prized the deposit franchise remains.

FY2026 Results Review

On the consolidated view used in our model, FY2026 total income (NII plus other income) reached ₹3.10 lakh crore, with NII of ₹1.63 lakh crore. Q4 standalone NII of ₹33,081 crore grew a muted 3.2% YoY — the cost of carrying the merger-era borrowing stack — but Q4 PAT of ₹19,221 crore (+9.1%) showed operating leverage returning. Full-year consolidated PAT rose 7.9% to ₹79,219 crore.

Deposits crossed ₹31.0 lakh crore (+14.4%), with CASA at 34.1%. Gross advances of ₹29.6 lakh crore grew 12.0%. The board recommended a ₹13 final dividend, taking FY26 to ₹15.5 per share (~31% consolidated payout) — a clear step-up in distribution policy.

Key FY2026 Highlights

- Standalone PAT ₹74,670 Cr, +10.9% YoY; consolidated PAT ₹79,219 Cr.
- Deposits +14.4% to ₹31.05 lakh Cr; CASA 34.1%; advances +12.0%.
- GNPA 1.15%, NNPA 0.38% — best-in-class large-bank asset quality.
- CAR 19.7%, CET1 17.3% — significant excess capital.
- FY26 dividend ₹15.5/share; payout lifted to ~31%.

Financial Summary (Consolidated, ₹ Crore)

	FY2023	FY2024	FY2025	FY2026	FY2027E
Net interest income	92,974	1,29,510	1,52,473	1,63,124	~1,82,400
Other income	33,912	1,24,346	1,34,548	1,46,848	~1,58,600
PAT (consolidated)	46,149	65,446	73,440	79,219	~87,600
EPS (₹)*	41.2	42.2	46.3	49.4	~54
ROE	~17%	~17%	~14%	~14%	~14.5%
Net worth	2,89,438	4,56,396	5,21,789	5,81,514	~6,42,800

Source: Company filings via Screener.in (FY2023–FY2026 actuals); FY2027E from the accompanying Excel model. E = estimate.

Valuation

Banks are best valued on returns over cost of equity, so we use a five-year excess-return (residual income) model on consolidated book value. We assume 11-12% asset growth, a 3.51% NII margin on average assets, 8% other-income growth, a combined cost-plus-provisions ratio easing from 66.5% to 65.3%, and a 30% payout. This drives PAT from ₹87,600 crore in FY27E to about ₹1.3 lakh crore by FY31E with ROE in the mid-14s.

Discounting excess returns at an 11.0% cost of equity (Rf 6.7%, beta 0.78, ERP 5.5%) with 5.5% terminal growth gives an equity value of ₹11.3 lakh crore — ₹737 per share, or about 1.95x FY26 book. That is about 6% below the market on a DCF basis; peer multiples, however, imply nearer ₹850, so the blended view is fair-to-slightly-rich — not yet opportunity. Note FY26 figures reflect the 1:1 bonus issue (shares outstanding ~1,539 crore).

Valuation Bridge	Value
Current net worth (FY2026)	₹5.82 lakh Cr
PV of 5-yr excess returns	₹1.07 lakh Cr
PV of terminal value	₹4.45 lakh Cr
Equity value	₹11.34 lakh Cr
Per share (1,539 Cr shares)	₹737

Key Risks

- Slower-than-expected ROE recovery if deposit competition keeps funding costs elevated.
- NIM pressure from RBI rate cuts repricing the loan book faster than deposits.
- Unsecured retail and MSME credit cycle deterioration would test the provisioning line.
- Regulatory actions (e.g., CD-ratio guidance, priority-sector shortfalls) constraining growth.
- Upside risk to a HOLD: faster borrowing run-off lifting NIM and re-rating the stock.

Company Overview

HDFC Bank is India's largest private-sector bank by assets and among the world's ten largest banks by market value. Following the 2023 merger with parent HDFC Ltd, it commands roughly a 15% share

of system advances, a 9,000+ branch network, and market leadership across most retail asset categories. Subsidiaries span broking (HDFC Securities), NBFC lending (HDB Financial Services, listed 2025), asset management and insurance.

Disclaimer

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